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**GLOBAL ISSUES
SUCH AS CLIMATE
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INCREASINGLY
SIDELINED**

TO EACH HIS OWN

The rise of protectionism will impact investments in climate mitigation. With the right policies and partnerships, India can become a key recipient of global capital

IN RECENT years, the world has undergone a marked shift from liberalisation and globalisation towards protectionism. After decades of promoting free trade, reducing tariffs, encouraging cross-border investments and pushing deregulation, many countries are prioritising domestic industries and strategic autonomy.

Early signs emerged after the 2008 global financial crisis. The next few years witnessed a material increase in job losses, income inequality and cultural identity issues. These contributed to political outcomes such as Brexit and Donald Trump's 2016 election victory. The U.S.-China trade war that followed forced companies to diversify away from China.

However, the real turning point came with Covid-19. Border closures and supply chain disruptions in early 2020 exposed the world's overdependence on global production networks. Shortages of critical goods like medical equipment, pharmaceuticals and semiconductors pushed countries to re-evaluate reliance on foreign suppliers and sparked a wave of localisation and self-reliance. During this time, governments injected massive fiscal stimuli. Money wildly chased assets, driving up valuations and masking a shift in investment allocation that was under way. This trend, however, became unmistakable as geopolitics

intensified, particularly with the Russia-Ukraine war and growing tensions across regions. The return of Donald Trump has reignited protectionist policies, with high tariffs, sanctions and sweeping regulatory shifts under the "Make America Great Again" banner. Global issues such as climate change, gender equity and economic disparity are increasingly sidelined. The world's largest economy embracing protectionism is altering global strategies, especially in capital allocation, foreign direct investment and international supply chain design.

DOMESTIC INVESTMENT

Protectionist policies are driving countries to channel investments into strategic domestic sectors. Governments are offering tax incentives, subsidies and regulatory support to strengthen national capabilities.

In the US, the CHIPS and Science Act has allocated billions to revive the semiconductor industry. The EU is investing in green energy and digital infrastructure. China continues to double down on self-reliance in key technologies. India has adopted a similar strategy through the "Atmanirbhar Bharat" initiative. Production-Linked Incentive (PLI) schemes in sectors such as electronics, pharmaceuticals, textiles and automotive aim to enhance local manufacturing and attract global